



self-regulation
development
advocacy

annual report

2011
12

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Abbreviations

AIDWA	All India Democratic Women's Association
AKMI	Association of Karnataka Microfinance Institutions
AP	Andhra Pradesh
B-Able	BASIX Academy for Building Lifelong Employability Ltd
bn	billion
BSFL	Bhartiya Samruddhi Finance Ltd
CEO	Chief Executive Officer
CGAP	Consultative Group to Assist the Poor
CoC	Code of Conduct
Cr	Crore
DFI	Development Finance Institutions
EC	Enforcement Committee
ECB	External Commercial Borrowing
FY	Financial Year
GFSP	Grameen Financial Services Pvt Ltd
GLP	Gross Loan Portfolio
GoAP	Government of Andhra Pradesh
IFC	International Finance Cooperation
IFMR	Institute for Financial Management and Research
IRDA	Insurance Regulatory and Development Authority
J-PAL	Abdul Lateef Jameel Poverty Action Laboratory
KAMFI	Kerala Association of Microfinance Institutions
MD	Managing Director
MFI	Microfinance Institutions
MFIN	Microfinance Institutions Network
MFIs	Microfinance Institutions
MFT	Microfinance Transparency
mn	million
MNCs	Multi National Companies
MoF	Ministry of Finance
MSC	MFIN State Chapter
NABARD	National Bank for Agriculture and Rural Development
NBFC	Non Bank Finance Company
NCAER-CMCR	National Council of Applied Economic Research Centre for Macro Consumer Research
NSDC	National Skill Development Corporation
PAR	Portfolio at Risk
PIL	Public Interest Litigation
PSL	Priority Sector Lending
PSRD	Principal Secretary Rural Development
RBI	Reserve Bank of India
RCT	Randomized Control Trials
Rs	Indian Rupee
SHGs	Self Help Groups
SIDBI	Small Industries Development Bank of India
SLBC	State Level Bankers' Committee
SPM	Social Performance Management
SRO	Self-Regulatory Organization
USD	United States Dollar

President's Message

Dear Members,

Starting on a personal note, even as the MFI I set up in 1996 – Bhartiya Samrudhhi Finance Ltd – has dwindled to one-twelfth of its size in the last one year and has had to stop lending to over 15 lakh poor households and let go over 5,000 staff, I remain optimistic about the microfinance industry as a whole. Why so? Let me relate a recent conversation with one of our ex-borrowers in a village 50 kms from the Gaya town of south Bihar. As I had worked in that area in the 1980s, she has known me for many years.

With that familiarity, Draupadi asked me - D: "So when will you start giving us loans again?"

I responded cautiously – VM: "I can't say for sure Draupadi ji. We are talking to banks every day."

D: "All of us have repaid you fully, more than six months ago."

VM: "Thank you. We used that money to repay banks in time."

D: "So why are they not giving you money again?"

VM: "Because we have still to pay Rs 500 Cr which we could not collect from borrowers in Andhra Pradesh."

D: "O yes I have heard of that. But why should we suffer because they have not repaid?"

I tried to change the topic, VM: "So what are you doing these days?"

D: "What can we do? I go for labor when I get work. Otherwise hand to mouth. My vegetable shop is closed for the last four months. I am eagerly awaiting your loan."

So, I am optimistic because the demand for microcredit remains unfulfilled, and the trust between borrowers and MFIs remains, in spite of the setback in Andhra Pradesh (AP).

The Andhra Pradesh Microfinance Institutions (Regulation of Moneylending) Act, 2010, promulgated first as an Ordinance on 15th October, 2010 became a tool of competitive populism among various political parties and led to a mass default of Rs 7,200 Cr (72 bn) micro-loans by over 90 lakh (9 mn) borrowers in AP. This was bad enough, but it got severely aggravated and became a nationwide problem when bankers stopped extending fresh loans to MFIs, even as there was no decline in repayments elsewhere in the country. Thus, the AP Act led to a setback in the outreach of the microfinance industry all over India in the year ending 31st March, 2012, with loan disbursements declining by 38%, loan outstanding by 15%, borrowers by 17%. The decline was much more severe for those MFIs that had a significant AP exposure, to the point where seven MFIN member MFIs in AP have had to undergo corporate debt restructuring. Despite persistent efforts at the administrative, political and judicial level by MFIN and others, the AP situation remains unresolved even as a Crore (10 mn) of poor households there now turn to moneylenders as their only source of credit, borrowing at rates above 60% per annum.

The events of the last year may tempt us to focus solely on the setbacks, but in doing so we may lose an opportunity to acknowledge the fact that much has happened that is positive in the last one year. Just one less-known fact illustrates this – practically all MFIN member MFIs are now members of two RBI approved credit bureaus, and have uploaded about 7 Cr (70 mn) loan records in the bureaus' computers, starting from zero just a year ago. This single step itself will go a long way to ensure both responsible borrowing and responsible lending. Another fact, indicative of returning investor confidence, over Rs 300 crore of fresh equity has been invested in seven MFIs, since the crisis began. The third positive fact - the RBI

imposed an interest rate cap on micro-loans, but by pegging it at 26% plus one percent loan processing fee, it acknowledged the real cost of making small loans to the poor, even as populists are lowering the interest rate down to zero.

We should thus look at the coming year as the beginning of the 'third phase' for the industry. The first phase, 1992-2001, was characterized by NGO origins, with many innovations but low outreach and no sustainability. The second phase, 2002-2011, was a quest for scale and sustainability, during which, unfortunately a few MFIs crossed the line into reckless growth and profiteering. The third phase, 2012-2021 should demonstrate our capacity to evolve into responsible financial institutions for the base of the pyramid. For this, we must strengthen our governance, management, systems and structures and change our stance vis-à-vis customers. We must think about ethical conduct and transparency, not as externally imposed obligations, but as the foundation for a durable relationship with resource providers (regulators, bankers, investors) and with resource users (customers) and staff.

Even further, we must look beyond financial metrics to assess the real impact of our activities on the lives of the people we serve. Recently, Dr Esther Duflo, an economist at the MIT's Abdul Lateef Jameel Poverty Action Laboratory (J-PAL), who along with Dr Abhijit Banerjee, is well-known for their espousal of randomised control trials (RCTs) for judging the efficacy of any poverty alleviation effort, evaluated the microfinance program aimed at the poorest households of Bandhan, the largest MFIN member MFI. Dr Duflo concluded that the effects of microfinance went beyond the direct impact of the resources provided. 'These programs also make it possible for the very poor to hope for more than mere survival'. Dr Duflo said that an absence of hope had helped keep poor people in penury; and that microfinance injected a dose of optimism.

So, if we have to be the fountainheads of this optimism, we have to leave 2011 behind and work for a brighter future together. The good thing is that the Government of India through the Department of Financial Services, Ministry of Finance (MoF), and the Reserve Bank of India (RBI) has stepped forward with concrete and positive support to MFIs. International DFIs like the IFC have made equity investments and SIDBI and Indian banks have started injecting new funding as well as working out major corporate debt restructuring packages for the AP affected MFIs. Now the ball is in the court of the MFIs to show that they have a business model which simultaneously is responsible and sustainable. One of the ways to do this is by MFIs providing not just a single credit product, but the full range of financial services to the unserved segments of the population.

Economies of scope are more important in the microfinance business than economies of scale, because the ticket size of each transaction is small. Thus, if the same field worker collects thrift, provides micro loans, sells insurance cover for life, health and livelihoods; and even offers pension products, her costs can be covered by a lower margin on each product. So, MFIs should be encouraged to provide the full range of services. The 2nd December 2011 RBI regulations already permit multiple credit products and also allow distribution of insurance products by MFIs compliant with the IRDA guidelines. The Microfinance Bill, 2012, introduced in the Parliament has defined microfinance as a whole range of services, not just credit, including thrift and money transfers. It empowers the RBI to decide when and whom to permit offering these services. It is up to MFIs to collectively demonstrate to the RBI that not only can we disburse credit responsibly, but that we can also be trusted with other services – thrift being the most important.

MFIN is a forum designed to do that. Since its birth in 2009, MFIN has been working tirelessly to bring greater transparency and maintaining ethical practices in the microfinance industry. Our efforts have resulted in various stakeholders becoming more cognizant of the challenges and issues faced by the industry. MoF and the RBI have been consulting MFIN with respect to the future course of policy and regulations for the sector. We have also worked to repair the damage to the image of industry by collaborating with academia for research and the media for debate, so as to build a deeper and broader understanding of microfinance. Most importantly, we have interacted with political leaders across party lines, in Delhi and in the state capitals, to get them to have a more realistic appreciation of the good work done by the microfinance industry and the challenges it faces. All this has gone a long way in establishing MFIN's position as the primary representative body and the emerging self-regulatory organisation for Non-Bank Finance Company Micro Finance Institutions (NBFC-MFIs).

I wish to thank the Department of Financial Services, Ministry of Finance, Government of India, the Reserve Bank of India, the banking and the investment community, and several individuals in politics, public policy, the academia and the media for their support. I would like to end by acknowledging fellow MFIN Board Members, the MFIN CEO Mr Alok Prasad, and the MFIN staff for their dedication and support.

Best Wishes,

Vijay Mahajan
President, MFIN

Hyderabad
15th June 2012

CEO's Message

“It was the best of times, it was the worst of times, it was the age of wisdom, it was the age of foolishness, it was the epoch of belief, it was the epoch of incredulity, it was the season of Light, it was the season of Darkness, it was the spring of hope, it was the winter of despair, we had everything before us, we had nothing before us, we were all going direct to heaven, we were all going direct the other way....”

Charles Dickens, *A Tale of Two Cities*

Dear Members,

The above lines, I believe, aptly sum up the year gone by. On the one hand, the headwinds continued to blow - bank funding remained scarce, investors remained wary, and, the crisis triggered by the Andhra Pradesh Microfinance Institutions (Regulation of Moneylending) Act, 2010, refused to abate. On the other hand, in many substantive ways, the industry was accorded a legitimacy and recognition that had eluded it, from its formative phase. The Reserve Bank of India (RBI) finally announced the creation of a distinct category of financial institutions, namely, Non-Bank Finance Company Micro Finance Institutions (NBFC-MFIs) and issued specific regulatory guidelines for these institutions. The RBI also provided relief on provisioning norms; allowed External Commercial Borrowings (ECBs) up to USD 10 mn; and Priority Sector Lending (PSL) status for lending to MFIs was maintained. Equally, the Central Government sent out strong signals of support by fast-tracking the draft Micro Finance Bill (which was tabled in Parliament on 22nd May 2012) and inviting NBFC-MFIs to partner with NABARD/Public Sector Banks to work as 'support organizations', under the flagship 'SHG-2' program.

It may be said that FY 2011-12 was a season of 'myth busting'. Independent studies by **NCAEAR**, **M-CRIL**, **MicroSave** and **IFMR** confirmed that the total effective cost of loans from MFIs is no higher than that of other formal sector lenders; that MFIs are not singularly responsible for the over indebtedness and multiple borrowing witnessed amongst microfinance clients in some parts of the country; and that MFI loans were more likely to be used for productive purposes as compared to other sources of borrowing. The studies also determined that the cessation of operations by MFIs in Andhra Pradesh (AP) has resulted in clients resorting to higher borrowings from money lenders at usurious rates, and highlighted growing instances of borrowers putting off critical activities such as business expansion, children's education, etc. due to the lack of affordable funding from MFIs. These findings, coupled with our intensive media engagement through the year, have helped bring about a perceptual balance and have aided the restoration of the industry's credibility amongst varied stakeholders.

I would venture to say that the worst is over and it is time to look at the future in a more inspired, mission focused manner. If there is anything we have learnt from the failure of the wide ranging experiments in financial inclusion since independence, it is that the cause of the 'bankable poor' is not served by charity; it is not served by providing deep, unsustainable, subsidies; instead, it is served by reaching out and empowering them. This is what MFIs have done well; will continue doing well; there by promoting the national agenda of financial inclusion. Both the regulator and the government must, therefore, continue to provide an enabling legal and regulatory environment for microfinance and MFIs.

In the past year, MFIN has steadily worked towards establishing itself as the Self-Regulatory Organization (SRO) for the sector. We launched an industry wide initiative on Social Performance Management to get member MFIs to realign their

practices with their mission and to promote deeper customer connect. A unified, industry Code of Conduct (CoC), with special emphasis on customer protection and good governance was introduced, jointly with Sa-Dhan. An internal Enforcement Committee worked actively to deal with complaints and ensure full adherence to the regulatory guidelines and the industry CoC. Whistle blowing was encouraged. The coverage of the Client Helpline was extended to parts of Tamil Nadu. The process of establishing a National Helpline has been initiated. Three additional state chapters were established for better engagement on state and local level issues. And, the credit bureau eco-system moved towards maturity with 3 bureaus providing their services to the industry and over ~70mn client records uploaded as of 31st March, 2012.

As a result of improved risk management practices and processes, the portfolios of MFIN member MFIs with little or no exposure to AP maintained a 98%+ repayment rate resulting in a portfolio quality healthier than consumer finance and all other forms of unsecured credit. The industry's resilience may have come as a surprise to many but it merely reconfirms what we all know well – microfinance clients are highly credit worthy and MFIs provide a 'services package' which other types of financial institutions have failed to do.

Collectively, we have worked hard to restore the industry's credibility. While we have made significant inroads in this respect, our journey is far from over. Advocacy efforts aimed at facilitating a supportive and comprehensive policy framework remain paramount on MFIN's agenda. Alongside, transparency, good governance and customer protection are critical areas which, as an industry, we have to continuously address. MFIN will work diligently on these and other emerging issues to promote the development of a vibrant microfinance industry.

MFIN draws its strength from the faith you place in us and we look forward to your continued endorsement.

Best wishes,

Alok Prasad
CEO, MFIN

Gurgaon
15th June 2012

Introduction

About MFIN

Microfinance Institutions Network (MFIN) is the premier industry association for the microfinance industry in India and its current membership consists of 46 leading Non-bank Finance Company Microfinance Institutions (NBFC MFIs) in the country. The aggregate business of MFIN members constitutes over 90% of the Indian microfinance industry (excluding SHGs). MFIN seeks to work closely with regulators and other key stakeholders to achieve larger financial inclusion goals through microfinance.

Vision

To be an engine of inclusive growth for India and help provide financial services to 100 mn low income households by the year 2020, in a responsible and transparent manner, thereby helping them build sustainable livelihoods.

Objectives

MFIN's primary objective is to work towards the robust development of the microfinance sector, by promoting:

- Responsible lending,
- Client protection,
- Good governance, and
- A supportive regulatory environment.



Members' Portfolio (as of 31st March 2012)

46 Members (NBFC-MFIs)

9,843 Branches

68,976 Employees

2,27,66,021 Clients

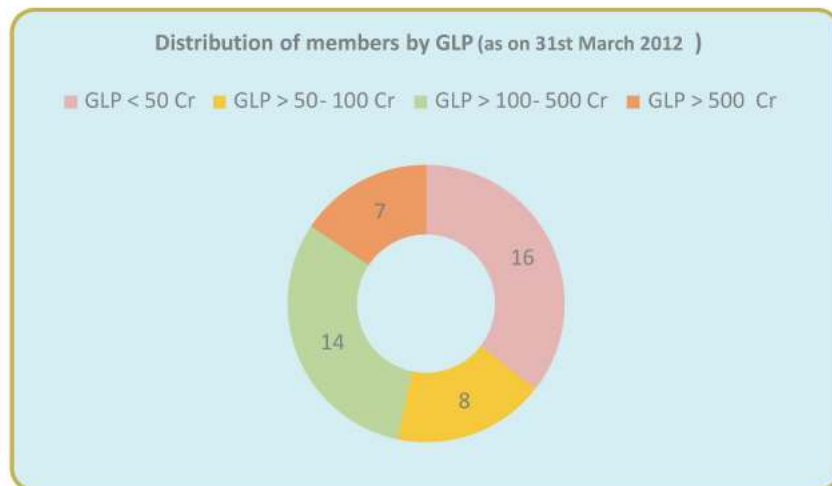
Rs 15,443Cr Gross Loan Portfolio

Rs 20,135Cr Loan Disbursements

Membership

MFIN's membership comprises of RBI regulated NBFC-MFIs only. Member MFIs operate across 27 states, primarily in rural areas, including remote geographies. As of 31st March 2012, the combined client base of member MFIs is over 22 mn (Rs 2.2 Cr) and a portfolio outstanding of Rs 154 bn (Rs 15,443 Cr) with an additional Rs 30 bn (Rs 3,000 Cr) in managed assets.

The members are across the entire spectrum of the MFI world, ranging from very large, pan – India institutions with portfolios in excess of Rs 5 bn (Rs 500 Cr) to mid – sized / small players with a state or regional presence only.



(For a complete list of MFIN members, refer Annex 1)



Governance

MFIN has an eight member Governing Board elected from amongst the leadership of its member MFIs. The Board supports the broad goals of the network and provides overall direction to its activities for ensuring the healthy development of the NBFC-MFI industry. As per MFIN's Bye Laws, the Board is dissolved and re-elected each year at its Annual General Meeting. The current composition of the Board is as under:

Board of Directors (as on 31st March 2011)

President

Vijay Mahajan, Chairman, Bhartiya Samrudhhi Finance Ltd

Vijay Mahajan is the President of MFIN. Mr Mahajan founded BASIX in 1996, a new generation financial institution that supports rural livelihoods in India. Mr Mahajan is currently also the Principal Advisor on Livelihoods to the Government of Rajasthan and serves on the Board of the Insurance Regulatory and Development Authority (IRDA) as well as on the Boards of ASSEFA, Gram Vikas, and ARAVALI. He is also the Chairman of Consultative Group to Assist the Poor (CGAP).



Vice President

PN Vasudevan, MD, Equitas Microfinance India Pvt Ltd

PN Vasudevan is the Promoter and Managing Director of Equitas Micro Finance India Pvt Ltd. He was the former Executive Vice President and Head of Consumer Banking Group at Development Credit Bank Ltd. Mr Vasudevan has also served as Vice President and Business Head for Cholamandalam Investment and Finance Co Ltd (part of the Murugappa Group) for twenty years and was the Chairman of the South India Hire Purchase Association for the year 2005-2006.



Chandra Shekhar Ghosh, Chairman & MD, Bandhan Financial Services Pvt Ltd

Chandra Shekhar Ghosh is the Chairman and Managing Director of Bandhan Financial Services Pvt Ltd. Mr Ghosh is also on the Governing Board of Sa-Dhan and READ India and has served on the National Bank of Agricultural and Rural Development (NABARD) committee for State Level Review and Coordination of Credit Delivery Innovations. Mr Ghosh has also been instrumental in defining policy for MFIs in his role as an advisor to SIDBI.



Padmaja Gangireddy, MD, Spandana Sphoorthy Financial Ltd

Padmaja Gangireddy is the Managing Director of Spandana Sphoorthy Financial Ltd. Mrs Reddy has over twenty years of experience in Social Development, Microfinance, and Entrepreneurship. She worked in an NGO before founding Spandana in 1998.

Govind Singh, CEO & MD, Utkarsh Micro Finance Pvt Ltd

Govind Singh is the Promoter and Managing Director and the Chief Executive Officer of Utkarsh Micro Finance Pvt Ltd. He has over two decades of banking experience with State Bank of Patiala, Surya Roshni group (Financial services), Bank International Indonesia, ICICI Bank, and Axis Bank. Prior to founding Utkarsh, Mr Singh was the Business Head for Micro banking at ICICI Bank.



Samit Ghosh, CEO & MD, Ujjivan Financial Services Pvt Ltd

Samit Ghosh is the CEO and Managing Director of Ujjivan Financial Services. Mr Ghosh has been a member of the international banking community for over thirty years. He led the launch of retail banking for StandardChartered in the Middle East and South Asia, and for HDFC Bank in India. His last commercial assignment was Chief Executive (India) of Bank Muscat. He is an alumnus of Jadavpur University and The Wharton School of the University of Pennsylvania.

Shubhankar Sengupta, CEO, Arohan Financial Services Pvt Ltd

Shubhankar Sengupta is the Promoter and CEO of Arohan Financial Services Pvt Ltd. Prior to starting Arohan, Mr Sengupta worked with BASIX, India's leading livelihood promotion institution, for eight years. He has an undergraduate degree in Economics from Presidency College, Kolkata, and a post-graduate degree in rural management from IRMA.



Suresh K Krishna, MD, Grameen Financial Services Pvt Ltd

Suresh K Krishna is the Managing Director of Grameen Financial Services Pvt Ltd. He has been a development professional since 1997. He is the Secretary of the Association of Karnataka Microfinance Institutions. Mr Krishna is also the Chairman of Microfinance Focus and the Promoter and Director of EKAYANA Media Services Pvt Ltd.

Chief Executive Officer

Alok Prasad, CEO, MFIN

Alok Prasad is the CEO of MFIN. Mr Prasad is a veteran banker with over thirty years of both public and private sector banking and financial services experience. He was formerly the Head, Strategy & Business Development, of Citi Consumer Group, and Country Director of Citi Microfinance Group (India). He also served on the Boards of Citi Financial Ltd and Citicorp Maruti Finance Ltd. Prior to joining Citi, Mr Prasad had a long stint with the RBI, across various departments, in both Central and Regional Offices. He was also a member of the start-up team of the National Housing Bank, a statutory body wholly owned by RBI, where he played a pivotal role in the formulation of policies for the development of the housing finance sector in India.



Task Forces

MFIN has established a number of Task Forces for focused action on specific areas of activity that, from an overall industry standpoint, are deemed critical. The Task Forces comprise of representatives of member institutions who help drive specific initiatives with the support of the MFIN Secretariat.

Credit Bureau

The Credit Bureau Task Force is responsible for engaging with Credit Bureaus in India to facilitate the development and implementation of dedicated credit bureau services for microfinance clients in India.

Credit Bureau Task Force Members	
Name	Representative Organization
Shubhankar Sengupta	CEO, Arohan Financial Services Pvt Ltd
P N Vasudevan	MD, Equitas Micro Finance India Pvt Ltd
Kishore Mangalvedhe	Group Head, L&T Finance Ltd
Suresh Krishna	MD, Grameen Financial Services Pvt Ltd
Sameer Nanavati	CEO, Disha Micro Finance Pvt Ltd
Rajiv Bhatia	Senior Advisor, Satin Credit Care Network Ltd
Sateesh Kumar AV	AVP, SKS Microfinance
Alok Prasad	CEO, MFIN

Policy Advocacy

The Policy Advocacy Task Force is responsible for engaging with the Reserve Bank of India, Central Government, State Governments, and other key stakeholders and decision makers. The Task Force holds regular dialogues with key policy makers to create a favorable operating environment for the microfinance Industry.

Policy Advocacy Task Force Members	
Name	Representative Organization
Vijay Mahajan	Chairman, Bhartiya Samrudhhi Finance
P N Vasudevan	MD, Equitas Micro Finance India Pvt Ltd
Chandra Shekhar Ghosh	Chairman & MD, Bandhan Microfinance
Samit Ghosh	CEO & MD, Ujjivan Financial Services Ltd
Veena Mankar	MD, SwadhaarFinserve Pvt Ltd
Alok Prasad	CEO, MFIN

Media Relations and Communications

The Task Force on Media Relations and Communications is responsible for managing the communications strategy of MFIN.

Media Relations and Communication Task Force Members	
Name	Representative Organization
Vijay Mahajan	Chairman, Bhartiya Samrudhhi Finance
HP Singh	Chairman & MD, Satin Credit Care Network
Samit Ghosh	CEO & MD, Ujjivan Financial Services Ltd
Suresh Krishna	MD, Grameen Financial Services Pvt Ltd
Alok Prasad	CEO, MFIN

Enforcement Committee

As the industry 'Self Regulatory Organization' (SRO), MFIN has constituted an Enforcement Committee (EC) for ensuring effective implementation of the MFIN Code of Conduct (CoC) and adherence to regulatory norms. The EC has been instrumental in the preparation of formal processes for the reporting and inquiry of CoC and regulatory violations.

Enforcement Committee Members	
Name	Representative Organisation
Govind Singh	MD & CEO, Utkarsh Micro Finance Pvt Ltd
Baskar Babu	CEO, Suryodaya Microfinance
Suresh Krishna	MD, Grameen Financial Services Pvt Ltd
Murali Srinivas	Director, Mimoza Enterprises Finance Pvt Ltd
Alok Prasad	CEO, MFIN



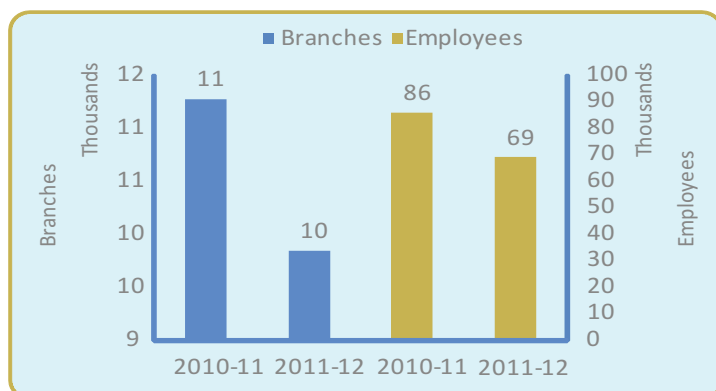
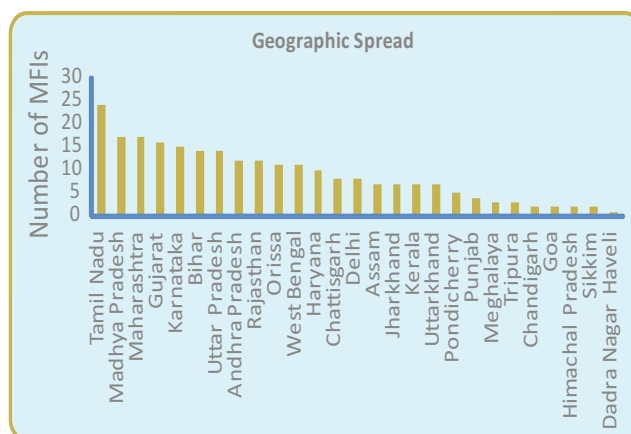
Industry Overview

The microfinance overview given here is the microfinance industry's position as of 31st March, 2012 (FY 2011-12). Data and analysis is based on FY 2011-12 provisional financials provided by 45 members. MFIN members constitute about 90% of the microfinance sector. Hence, the information given below is a good representation of the state of India's microfinance industry.

Microfinance

Geographic Spread

Historically, MFIs were largely concentrated in the southern and central Indian states of Tamil Nadu, Andhra Pradesh, Maharashtra and Madhya Pradesh. In recent years, MFIs have diversified remarkably across India with a presence in 27 states.

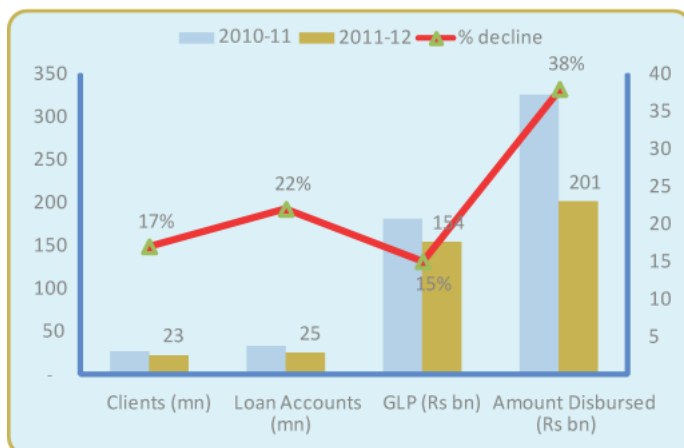


Infrastructure

During FY 2011-12, the total number of MFI branches declined from 11,276 to 9,843. With over 1,400 branches getting closed during the year, the total number of personnel employed by the industry reduced by about 20%. This is one more negative impact of the Andhra crisis that hit the industry in October 2010.

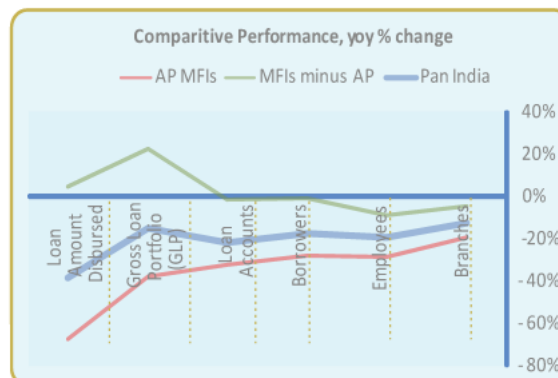
In the past few years, the microfinance Industry has increasingly been a good source of employment in the rural and semi-urban economy. MFIs directly employ thousands of rural youth with modest educational backgrounds.

Outreach



Not surprisingly, MFIs with large exposures to Andhra Pradesh (AP) contributed disproportionately to the overall decline. Evidence suggests that MFI clients, particularly in Andhra Pradesh, that relied on microfinance loans have suffered as a result and have been forced to avail of loans from moneylenders and pawnbrokers at usurious rates. It is, however, noteworthy that the non-AP MFIs have, in the aggregate, performed reasonably well and shown marginal growths across both financial and operational parameters.

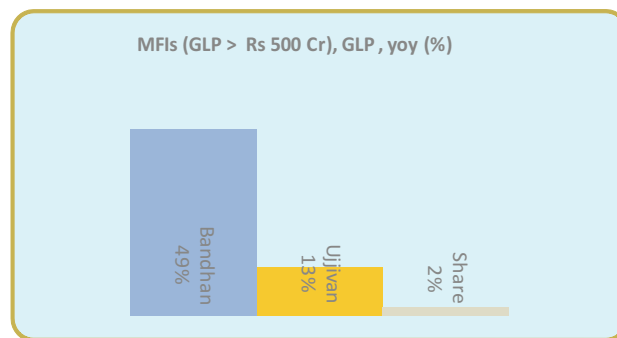
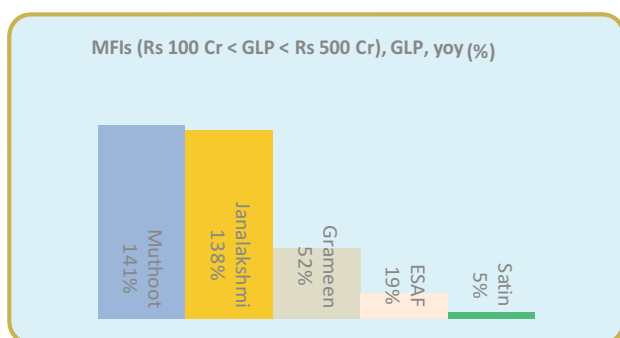
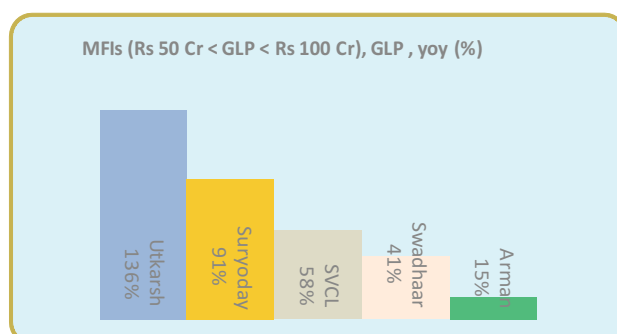
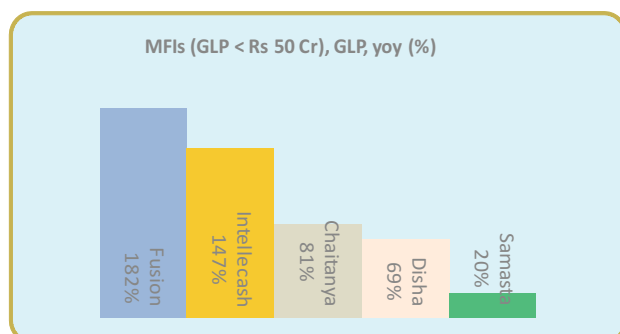
The microfinance industry in India continued to face strong headwinds in FY 2011-12. As a result, the industry witnessed significant declines on all key indicators such as number of active clients, loan accounts, Gross Loan Portfolio (GLP) and loan amount disbursed. The client base declined by 17% to 22 mn while the number of active loan accounts decreased by 22% to 25.45 mn. The aggregate GLP outstanding declined by 15% in FY 2011-12 to Rs 15,433 Cr. Fresh loan disbursement amount reduced by 38% in FY 2011-12 to Rs 20,000 Cr.



As the operational challenges posed by the promulgation of the Andhra Pradesh Microfinance Institutions (Regulation of Moneylending) Act 2010, failed to get resolved, MFIs in AP had to write off about Rs 1,779 Cr in the past year. The repercussions were felt by many non-AP based MFIs as well, as Banks and Investors shied away from the sector leaving them cash strapped and unable to grow their businesses. This collateral damage wasn't limited to MFIs alone. It affected microfinance borrowers and employees just as adversely, if not more.

Torch Bearers

While it is no secret that the past year was a rough one for the industry, there were some MFIs that managed to buck the trend. The relative success of many medium/small MFIs (portfolio outstanding less than Rs 500 Cr) in a challenging regulatory and investment climate is indicative of a future that is promising. It is also ample proof of the fact that good governance, adoption of appropriate risk management tools, and transparency can go a long way in ensuring the sustainability and success of MFIs.



Key Conclusions

The microfinance industry encountered a 'Black Swan' event in October 2010. In the immediate/short term, the outcomes of this were very negative. Hence, not surprisingly, the pan-India indicators present a fairly negative picture of the state of the industry. However, a more textured analysis points to trends which portend well for MFIs and their clients. In this context, the following is noteworthy:

- MFIs outside Andhra showed growth, both in terms of GLP (22%) and disbursements (5%) during FY 2011-12;
- Repayments by clients outside Andhra held steady at around 99% levels, despite the operational issues being faced by all MFIs;
- Write-offs by MFIs outside Andhra came down by 45%;
- The volume of asset sales/securitization transactions went up by 100%.

In effect, what we see is an Andhra - non-Andhra divide with the pan-India indicators getting skewed by the drag of the continuing crisis in Andhra Pradesh. Arguably, it could be stated that in 2011-12, more than anything else, the industry has been able to demonstrate that it is exceptionally resilient and that its clients are extremely credit worthy.

It is also noteworthy that some of the top performers of FY 2011-12 are new and smaller MFIs that have taken microfinance to hitherto underpenetrated parts of the country. This once again demonstrates the large unmet demand for the microcredit and the important role that MFIs can play in financial inclusion.

Microfinance Plus

In addition to micro-credit, MFIs have been providing 'microfinance plus' services to their clients, either directly or through affiliated non-for-profit organizations and other strategic partners. Such services are aimed at ensuring the overall well-being of clients' households and are primarily focused on the following key areas:

- Livelihoods Training
- Education
- Health Services
- Promoting Market Linkages



Livelihoods Training

MFIs are working on integrated skill building of the less educated and under-employed amongst their clients' communities, by providing them with market linked technical skills through short-term programs (3-6 months, typically) that will help augment their income levels. MFIs offer these programs in partnership with service providers for quality training, curriculum development, training of trainers, apprenticeships, on-the-job-trainings etc.

Bhartiya Samrudhhi Finance Ltd (BSFL) provides a range of business development services to its clients in areas such as agriculture practices, livestock, poultry, and cultivation. Close to 26% of BSFL customers avail these services. Additionally, its sister organization, **BASIX Academy for Building Lifelong Employability Ltd. (B-ABLE)** in partnership with National Skill Development Corporation (NSDC) is establishing 400 pan India Vocational Training Centers to train over 1 mn youth in the next 10 years.

Education

MFIs support education initiatives for children of members who have availed microcredit from the MFIs, either through education loans to poor children or through scholarships for deserving students. Some MFIs also provide quality supplementary education services through part time teaching programs with qualified instructors that cater to the child's individual educational support needs as required.

Grameen Financial Services Pvt Ltd (GFSPL) has started 21 learning centers across rural Karnataka in partnership with Hippocampus Learning Centres. This program aims to make primary education more fun and interesting by making it play based and using multimedia as a teaching method. As part of this program, members of GFSPL are provided an opportunity to run these centers as franchises which helps them earn additional income for themselves

Bandhan has organized over 30 health camps and 12 eye camps in various districts of West Bengal covering more than 8,000 patients. Upon the request of Howrah District Administration, Bandhan mobilized its Health Volunteers to undertake polio vaccination initiatives. Since April 2011, 28,501 children in the Howrah railway station area have been administered with polio vaccination by Bandhan's Health Volunteers.

Health Services

MFIs partner with relevant health service providers to offer comprehensive healthcare services that include health education, health camps, vaccination programs, primary care, medical and surgical care.

Promoting Market Linkages

MFIs are addressing the issue of missing markets which prevent their customers from participating more actively in the larger economy, an issue which not only traps the poor in a never ending cycle of poverty (even with access to microcredit) but also prevents MFIs from scaling up. Examples of such constraints are poor/non-existent infrastructure, poor knowledge of best practices in the occupations MFI clients are engaged in, limited linkage with markets, information asymmetry, health hazards, and poor education.

Equitas, through its vocation training program, **Equitas Gyan Kendra**, provides market linkages with partners such as ITC and Lijjat.

Our Work

FY2011-12 has seen the successful culmination of many of MFIN's efforts, both in terms of policy advocacy, as well as with respect to developing a supportive infrastructure for the industry. RBI's recognition of NBFC-MFIs as a separate and distinct category of financial institutions marked the beginning of what can be viewed as a series of 'regulatory wins' for the sector. The industry's long-standing demand for a separate law for the microfinance sector was finally heard with the Micro Finance (Development and Regulation) Bill, 2012 getting tabled in Parliament on 22nd May, 2012. MFIN's painstaking efforts in the past couple of years to get the Credit Bureau for microfinance clients functional began to see tangible results as the majority of MFIN member MFIs started to actively use Credit Bureau reports in their loan approval processes. Lawmakers, regulators, funders, and investors appeared to be receptive to the industry's challenges. The media as well seemed more amenable to look beyond the tide of negative sentiment and discover for itself the impact of microfinance on the lives of its clients. A summary of MFIN's activities and accomplishments for FY 2011-12 is given below:

Advocacy

MFIs in India have proved that the poor can be served on a commercially sustainable basis by market oriented institutions. They provide the critical, last-mile connectivity for provision of financial services to the poor. A comprehensive and contemporary regulatory system that keeps in view the current reality of the microfinance sector and is adequately forward looking is, therefore, necessary for the sound and stable development of the sector. MFIN has been engaging actively with the RBI as well as Central and State governments, to facilitate the development of a robust and supportive regulatory ecosystem for the microfinance industry. Some of the milestones achieved in the past fiscal year (April 2011 – March 2012) in this respect are as follows:

April 2011: Ministry of Finance constitutes a committee for drafting the Micro Finance Institutions (Development and Regulation) Bill. MFIN was invited to be member of the Committee.

May 2011: Issue of detailed Priority Sector Lending (PSL) guidelines; MFIN's representation to the Committee for drafting the guidelines results in continuance of PSL status for Bank loans to MFIs

July 2011: The draft Micro Finance Institutions (Development and Regulation) Bill made available in the public domain. The draft comprehensively addresses the issues of the microfinance sector and provides not only an overarching regulatory framework for the entire sector, but also has a developmental orientation. As such, MFIN supports the enactment of the Bill at the earliest.

September 2011: MFIN submits package to Government of Andhra Pradesh for providing relief to over-indebted borrowers and proposes other forward looking steps for normalizing microfinance activities in the state.

December 2011: RBI issues a notification for Microfinance Institutions, DNBS.CC.PD.No. 250/03.10.01/2011-12, dated 2nd December, 2011. Among other things, the notification announces the creation of a separate NBFC-MFI category, an outcome of the Malegam Committee's recommendations and MFIN's advocacy efforts towards this end. Also, the RBI allows ECB up to USD 10 mn to NBFC- MFIs, another positive development for the sector facilitated by MFIN.

January 2012: MFIN impleads itself in the Public Interest Litigation (PIL) filed by Ms U Vasuki (State General Secretary, All India Democratic Women's Association or AIDWA), in her personal capacity, against the RBI and the State Government of Tamil Nadu in the Madurai Bench of the Honorable Madras High Court. MFIN's efforts lead to a positive outcome wherein the Madurai Bench of the Tamil Nadu High Court upholds MFIs' rights to conduct business in the State in accordance with the RBI guidelines.

March 2012: MFIN's efforts to get relief on provisioning requirements came to fruition when RBI gave a very special dispensation to the industry via its circular, DNBS.PD/ CC.No.263/ 03.10.038/ 2011-12, issued on 20th March, 2012 which allowed the implementation of asset classification and provisioning norms for NBFC-MFIs to be deferred by one year, i.e. to 1st April, 2013.

Self Regulation

The notification DNBS.CC.PD.No. 250/03.10.01/2011-12 dated 2nd December, 2011, issued by the Reserve Bank of India (RBI) expects Industry Associations to assume greater responsibility in ensuring compliance. Given the RBI's many and varied responsibilities as the Central Bank and chief financial regulator of the country, a Self-Regulatory Organization (SRO) may therefore serve as extended arms of the RBI with delegated responsibilities for monitoring of compliance with RBI regulations.

MFIN has been modeled as a SRO for Microfinance Institutions (NBFC-MFIs) – constitutionally, structurally and functionally. As the SRO for the sector, MFIN's mission is to:

- Establish rules that are fair, and are based on stability and efficiency principles;
- Protect market competition and ensure that information monitoring and sanctioning systems are compatible with fair competition;
- Ban discriminatory and unfair practices;
- Ensure that SRO rules and operations are not detrimental to small participants and consumers, and that under-served constituents have reasonable access to their services, and at a fair price;
- Make sure that members are fully aware of the risks of their business, and that their technical and operational capacity, including their risk-management capacity, is sufficient to make their system robust and resilient against large financial and operational shocks.

MFIN is engaged in a range of activities focused on self-regulation. Some of the key accomplishments in its role as SRO for the sector are listed below:

Code of Conduct

Microfinance Institutions Network (MFIN) and Sa-Dhan, the two national industry associations of microfinance institutions in India, have collaborated to create a unified Code of Conduct (CoC) for their member institutions. The CoC was released on 13th December at the Microfinance India Summit 2011 in New Delhi. The CoC seeks to ensure that microfinance services are provided in a manner that is ethical and transparent and benefits clients in a holistic manner. MFIN has initiated translations of the CoC into all major regional languages. The translated CoC is being disseminated amongst all member MFIs. Members are expected to print and display the Client Protection Guidelines section of the Code of Conduct in plain sight in all their branches.

In continuation of its efforts to further strengthen the CoC enforcement mechanism, the Enforcement Committee has recently formalized a Complaint Handling Process for CoC and regulatory violations. The revised enforcement mechanism differentiates between CoC compliance issues and regulatory non-compliance and the manner in which they are dealt with. The mechanism also lays down a framework for effective and timely management of compliance issues.

The EC is also in the process of inducting independent external members to the Committee to bring greater transparency and objectivity to the complaint handling system.

In FY 2011-12, the Enforcement Committee (EC) handled a number of complaints related to interest rate and fee charges, high ticket lending, recruitment practices, and multiple borrowing to a single client. The issues were dealt with as per procedure and brought to satisfactory closures. This, we believe, has had a salutary impact on the operating practices of MFIs on the ground.

Score Card

MFIN is in the process of adopting a 'Score Card' to assess members' compliance with the industry Code of Conduct and RBI Directions. The Score Card will grade members on a scale of 1 to 10 based on the degree of compliance with the listed parameters. The evaluation will initially be made on the basis of self-certification by members and may later involve Peer certification/Investigation by MFIN appointed committees/ Independent Audits.

MFIN State Chapters (MSC)

MFIN has established State Chapters to provide a common forum for MFIs to resolve State level operational issues and deal with local matters relevant to the industry. Currently there are 6 MFIN State Chapters (MSC), one each in Tamil Nadu, Andhra Pradesh, Madhya Pradesh, Maharashtra, Uttar Pradesh, and Orissa. In addition to these, MFIN works closely with and supports established regional Microfinance Associations such as Association of Karnataka Microfinance Institutions (AKMI) and Kerala Association of Microfinance Institutions (KAMFI).

Engagement with State Government: All MSCs engage regularly with key government officials in different

states to provide them with regular updates on the industry. MSCs have provided state and district level data to government officials in several districts and made representations on behalf of the industry.

The Tamil Nadu Chapter has been holding regular meetings with key government officials such as PO, LDM, and Collectors in 16 districts, to brief them on MFIN initiatives, RBI guidelines, and interest rate calculation methodology. The Tamil Nadu Chapter has also made representations at Collector's meetings in Vellore, Tuticorin, Erode, Salem, Kanchipuram district. The Madhya Pradesh Chapter also organized district level meetings with MFIs and DMs/SPs in Ujjain, Sagar, Shajapur and Vidisha, Narsingh Pur.

The Andhra Pradesh Chapter has been instrumental in coordinating the progress of renewal of registrations with Principal Secretary, Rural Development (PSRD), Government of Andhra Pradesh (GoAP), and Mission Director, MEPMA. The AP Chapter has also been engaging with the office of Rural Development, GoAP, to address issues faced by member MFIs in registration renewals.

Engagement with Other Stakeholders: Besides the state government functionaries, MSCs regularly interact with other key regional stakeholders such as NABARD, SIDBI, State Level Bankers' Committee (SLBC) / Banks, as well as the regional and local media.

Coordination among Members: MSCs organize regular meetings among members both at the state and district levels, to discuss and resolve local issues. MSC Coordinators also conduct random field visits at the field level to monitor CoC Compliance and organize workshops with field staff to train them on compliances.

Development

MFIN has been working on several initiatives that will aid the robust development of the sector. Several studies and infrastructure projects have been in progress, and new avenues for improvement and development are being identified and acted upon. Some of the critical developmental initiatives currently in progress are as under:

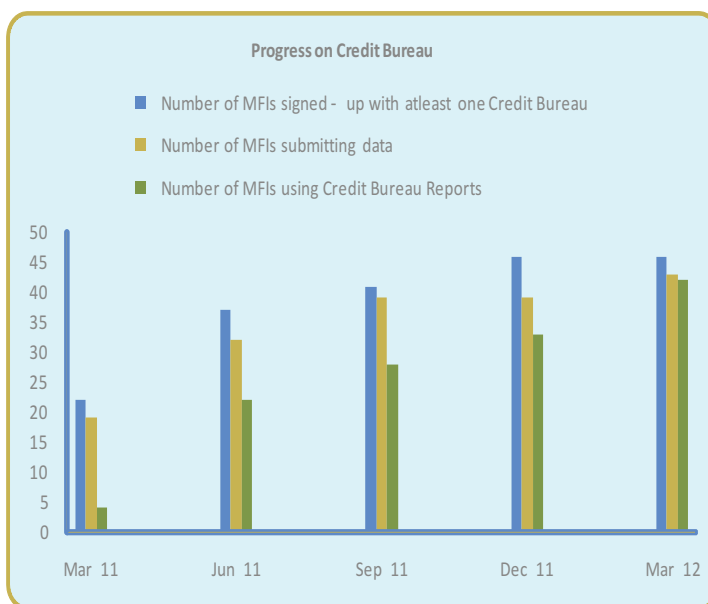
Credit Bureau

MFIN facilitated the establishment of the first credit bureau focused on rural markets (High Mark) aimed at improving credit risk management and adherence to the qualifying asset criteria laid by the RBI. Other mainstream Credit Bureaus, such as Equifax and Experian have also commenced offering services/products to the microfinance sector. MFIN has been collaborating with the Credit Bureaus for standardizing reporting formats, facilitating data collection and upload process. The key focus of the Credit Bureau Task Force in the past year has been to ensure that all MFIN members:

- Complete the process of joining at least 2 Credit Bureaus
- Establish mechanisms for regular and complete data sharing with both Credit Bureaus
- Commence use of Credit Bureau Reports for all lending

These efforts have led to a remarkable uptick in use of Credit Bureaus by MFIN member MFIs. The status of Credit Bureau usage is as follows:

- All MFIN members are members of at least one CB;
- 43 members are already member of two CBs;
- 43 members are already providing complete and regular data to two CBs and the process of data sharing is in progress for other MFIs;
- As of March 2012, data pertaining to 70 mn loan accounts have been submitted to the Bureaus.



Client Help Line

In response to the need for an independent channel for client grievance redress, MFIN established a helpline in Telugu for microfinance clients in Andhra Pradesh which was later expanded in Tamil to cater to clients in Tamil Nadu. The helpline not only deals with specific client level issues/complaints but also collects and disseminates information related to customer issues and concerns, at an industry level. The data collected from the helpline also allows monitoring of the relative quality of service being extended by different MFIs. The helpline is being expanded with services in three additional languages - Marathi, Hindi and Bengali, so as to cover a much larger number of clients.

Social Performance Management

In the past couple of years, the microfinance industry in India has been much maligned for its apparent lack of focus on 'Social Performance'. Rapid commercialization and subsequent mission drift have been cited as the primary reasons for this trend. This is despite the fact that many Microfinance Institutions (MFIs) offer 'microfinance plus' services, such as financial literacy workshops, targeted credit products, such as education loans, water and sanitation loans, community development projects such as schools, health and sanitation products and services, etc.

This has largely been due to the industry's inability to monitor and communicate the efficacy of microfinance in the development of thriving 'micro-economies' through the productive use of Micro Finance, thereby resulting in the overall well-being of their clients.

In order to address this need for better Social Performance Management (SPM) by the microfinance Industry in India, MFIN has partnered with the 'Social Performance Start-up fund'. This Ford Foundation supported Fund is assisting select national microfinance networks such as MFIN to implement SPM related activities. As part of this initiative, MFIN conducted a number of 4-day Social Performance Workshops. The workshops were intended to provide comprehensive training on SPM and reporting tools to MFI representatives, along with an in-depth understanding of the CoC for MFIs.

The workshops were well attended by middle-management SPM champions from 25 MFIs. During the course of the workshops, participants identified gaps in the implementation of Social Performance in their organizations and the tools and methods that could help them fill those gaps. MFIN also organized 'Stakeholders' Discussion' as a prelude to these workshops. The stakeholders' sessions focused on the role of regulators, funders, investors, and other stakeholders, including industry associations, in promoting Social Performance and adherence to the CoC. The stakeholders' sessions were attended by representatives from the RBI, senior management of member MFIs, as well as investors in the microfinance sector.

Information Hub

Substantive progress has been made for 'structuring' a comprehensive microfinance industry Information Hub with the objective of supporting policy formulation/dialogue and guiding industry practices. MFIN's approach towards the Information Hub is:

- Converging existing data points to MFIN India Information Hub;
- Rationalizing and harmonizing the data-sets to improve data quality and quantity; and
- Improving efficiency to reduce member's burden with respect to data reporting.

MFIN has partnered with MIX Market and Microfinance Transparency (MFT) to leverage on their expertise and existing processes and systems to collect and analyze data. These partnerships will allow MFIN complete access to members' operational, financial and social performance, as well as the product pricing data.

Studies

Compensation and Benefits survey conducted by Towers Watson

MFIN has been spearheading several initiatives to promote greater institutionalization and sustainable growth in the Microfinance sector. In this context, MFIN, in partnership with the International Finance Corporation(IFC), has commissioned a Compensation and Benefits survey to be conducted by Towers Watson. Towers Watson is a leading global professional services company that helps organizations improve performance through effective people, risk and financial management. Compensation levels in the microfinance industry have been variable and in some instances, have attracted adverse attention. The Benchmarking survey will help MFIs gain a better understanding of overall compensation levels in the industry and will help them normalize incentive structures within their organizations. 26 MFIN member MFIs across the country have participated in this survey. The survey will be followed by regional workshops conducted by Towers Watson to help MFIs use the results of the survey internally.

Study on 'Assessing the Effectiveness of Small Borrowing in India' conducted by NCAER

MFIN commissioned a pan-India study with the National Council of Applied Economic Research Centre for Macro Consumer Research (NCAER-CMCR), India, to assess effective cost of borrowing from various formal and informal sources for clients. The study was released on 10th October, 2012, in the capital, by the Union Minister for Rural Development, Shri Jairam Ramesh.

The study covers five urban centres, Kolkata, Hyderabad, Jaipur, Chennai and Lucknow, and the surrounding semi-rural areas. The sample groups surveyed for the study indicate that 64% of individuals that borrow from moneylenders own bank accounts, leading to the conclusion that access to a savings account with a bank does not guarantee access to credit from the bank. The study also finds that compared to other sources of borrowing, viz. moneylenders, SHGs, banks, a higher percentage of MFI loans are used for business promotion (45%). MFIs, it says, offer market-oriented solutions to poverty alleviation while coexisting with other social initiatives. The report can be downloaded from the MFIN website: <http://mfinindia.org/mfin-publication>

Promotion & Support of SHG

MFIN Members have joined hands with NABARD/Banks to work as 'support organizations' under the flagship 'SHG-2' of the Government of India.



Awards & Recognitions

The past year brought quite a few accolades for MFIs as well as individuals from the microfinance community. The rewards were especially sweet given the enormity of the challenges to the business environment. While the industry was often being censured for inappropriate practices, some MFIs differentiated themselves through sound corporate culture, transparent business practices, astute risk management and product innovation.

Mr Vijay Mahajan, President, MFIN was re-elected as CGAP Chairman.

Ujjivan Microfinance won a number of awards last year. It received the prestigious 'Microfinance Organisation of the year' award in the large institutions category, at Microfinance India Summit in Delhi, in December 2011.

Ujjivan also ranked among India's Best 25 Companies to Work for, across industry sectors. The 2011 survey was conducted based on best practices and employee feedback, by the Great Place to Work® Institute (India), in collaboration with The Economic Times, across companies in India, spanning various sectors and sizes, including domestic players as well as MNCs.

In addition to becoming the largest MFI in India, Bandhan added another feather to its cap in FY2011-12 with the Skoch Financial Inclusion Award 2012 announced on 5th January, 2012, for its initiatives in the field of education.

A number of MFIN members, Ujjivan, Sonata, Asmitha, Chaitanya, GFSPL, Satin and Trident received MIX Social Performance Reporting Awards in various categories.

In addition to the above, Mr Alok Prasad, CEO, MFIN won the Skoch Award for Policy Advocacy.



Partnerships & Collaborations

During last year, MFIN partnered and collaborated with a range of national and international organizations. We wish to thank them for their support



Annex 1 List of MFIN Members

1. Anjali Micro Finance I www.anjalimfi.com
2. Arman Financial Services Ltd I www.armanindia.com
3. Arohan Financial Services Ltd I www.arohan.in
4. ASA International India Microfinance Pvt Ltd I www.asa-international.com/india.htm
5. Asirvad Microfinance Pvt Ltd I www.asirvadmicrofinance.co.in
6. Asmitha Microfin Ltd I www.asmithamicrofin.com
7. Asomi Finance Pvt Ltd I www.asomi.co.in
8. Bandhan Financial Services Ltd I www.bandhanmf.com
9. Bhartiya Samruddhi Finance Ltd I www.basixindia.com
10. Chaitanya India Fin Credit Pvt Ltd I www.chaitanyaindia.in
11. CRESA Financial Services Pvt Ltd
12. Disha Microfin Pvt Ltd I www.dishamicrofin.com
13. Equitas Micro Finance India Pvt Ltd I www.equitas.in
14. ESAF Microfinance and Investments Pvt Ltd I www.emfil.org
15. Fusion Microfinance Pvt Ltd I www.fusionmicrofinance.com
16. Future Financial Servicess Ltd I www.ffslmfi.com
17. Grama Vidiyal Micro Finance Ltd I www.gvmfl.com
18. Grameen Financial Services Pvt Ltd I www.gfspl.in
19. Growing Opportunity Finance Pvt Ltd I www.gopportunity.net
20. Intellecash Microfinance Network I www.intellecash.com
21. Janalakshmi Financial Services Pvt Ltd I www.janalakshmi.com
22. Kaveri Credits India Pvt Ltd I www.kcipl.co.in
23. L&T Finance Ltd I www.ltfinance.com/microfinance.aspx
24. Madura Micro Finance Ltd I www.maduramicrofinance.com
25. Mimoza Enterprises Finance Pvt Ltd I www.mimofin.com
26. Muthoot Fincorp Ltd I www.muthootfincorp.com
27. Nano Financial Services India Pvt Ltd
28. Sahayta Microfinance Pvt Ltd I www.sahayata.co.in
29. Saija Finance Pvt Ltd I www.saija.in
30. Samasta Micro Finance Ltd I www.samasta.co.in
31. Sarvodaya Nano Finance Ltd I www.sarvodayanano.org
32. Satin Credit Care Network Ltd I www.satincreditcare.com
33. Shalom Micro Finance Ltd I www.shalommicrofinance.com
34. Share Microfin Ltd I www.sharemicrofin.com
35. SKS Microfinance Ltd I www.sksindia.com
36. SMILE Microfinance Ltd I www.smileltd.org
37. Sonata Finance Pvt Ltd I www.sonataindia.com
38. Spandana Sphoorty Financial Ltd I www.spandanaindia.com
39. Suryoday Micro Finance Pvt Ltd I www.suryodaymf.com
40. SV Creditline Pvt Ltd I www.svcl.in
41. Swadhaar Finserve Pvt Ltd I www.swadhaar.com
42. SWAWS Credit Corporation India Pvt Ltd I www.sccimicrofinance.com
43. Trident Microfin Pvt Ltd I www.tridentmicrofin.com
44. Ujjivan Financial Services Ltd I www.ujjivan.com
45. Utkarsh Micro Finance Pvt Ltd I www.utkarshmfi.com
46. Village Financial Services Pvt Ltd I www.village.net.in

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